

Market Structures

▼ Perfect competition

Large number of buyers and sellers

Firms are price takers (no market power)

Homogenous products (all products are very similar in quality)

No barriers to entry (no setup costs, govt. regulations, patents etc.)

Example: agricultural market

▼ Monopoly

One firm

No close substitutes

Firms set price

High barriers to entry

Example: utilities such as western power

▼ Oligopoly

Few large companies

Sellers are interdependent (work together strategically)

Goods are close substitutes

Barriers to entry exist

Example: telecommunications or supermarkets

▼ Monopolistic

Many firms

The firms are price setters

Differentiated but close substitutes

Low barriers to entry

Imperfect information

Example: phone or computer markets